

Should NestCraft Go to Smaller Towns?

A step-by-step solution using two beginner-friendly frameworks: the **Ansoff Matrix** and **TAM–SAM–SOM** market sizing.

Company	Budget in question	Decision
NestCraft	Rs. 3 Crore	Expand to 40 towns?

INTERESTED
VISITORS (TAM)

4,80,000

REALISTIC BUYERS
(SAM)

96,000

YEAR-1 CAPTURABLE
(SOM)

9,600

NEW-TOWN SETUP
COST

Rs. 2.5 Cr

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The Framework — What We're Using and Why

Two simple lenses: one sizes the opportunity, the other tells us what kind of growth move this is.

TAM – SAM – SOM

A way to size a market in three shrinking circles — from "everyone who could possibly want this" down to "who we can actually sell to this year."

In plain words: **TAM** = everyone interested. **SAM** = those we could actually serve. **SOM** = those we can realistically win in Year 1.

Ansoff Matrix

A 2x2 grid that classifies growth moves based on two questions: is the product new or existing, and is the market new or existing?

In plain words: it tells you **how risky** a growth move is. Selling the same product to a new market is safer than launching a new product in a new market.

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Step 1 — Size the Opportunity (TAM-SAM-SOM)

Applying NestCraft's own research data for the 40 smaller towns

TAM

Interested visitors

All website visitors from the 40 towns

4,80,000

SAM

Realistic buyers

Would buy IF delivery existed

96,000

SOM

Year-1 capture

NestCraft can realistically win

9,600

Reading the funnel: Only 20% of interested visitors (TAM) turn into realistic buyers (SAM), and NestCraft can capture just 10% of that realistic pool in Year 1. This is a normal, healthy funnel shape — but it also means the Rs. 6 Cr revenue estimate rests on two assumptions (20% and 10%) that have not been tested with real delivery yet.

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Step 2 — Classify the Move (Ansoff Matrix)

Same furniture, sold in towns NestCraft has never operated in

	Existing Product	New Product
Existing Market	Market Penetration (sell more in 12 cities)	Product Development
New Market	Market Development ← This decision	Diversification

Market Development

NestCraft isn't changing its product — it's still selling the same furniture. It's only extending the **market** (delivery to 40 new towns). This is a medium-risk move: safer than launching a new product, but riskier than simply selling more in the 12 cities NestCraft already understands well.

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Step 3 — Compare the Two Options

Deepen the 12 known cities vs. expand into 40 new towns

Metric	Existing 12 Cities	40 New Towns
Year-1 revenue potential	Rs. 18 Cr	Rs. 6 Cr
Setup cost needed	Low (infra exists)	Rs. 2.5 Cr
Demand certainty	Proven, already selling	Estimated, unproven
Revenue per Rupee spent (approx.)	Very high	~2.4x on Rs. 2.5 Cr
Share of Rs. 3 Cr budget used	Flexible, scalable	~83% of the whole budget

The math: Rs. 6 Cr of revenue for Rs. 2.5 Cr of new setup cost is not a bad return on paper. But it consumes 83% of the entire Rs. 3 Cr budget on a market that's never been tested — for revenue that's **3 times lower** than what deepening the existing 12 cities could deliver with far less risk.

A visual map of the four growth moves, showing exactly where NestCraft's decision sits.



Why NestCraft sits in Market Development:

The furniture itself is unchanged — NestCraft isn't building a new product. What's new is the market: 40 towns it has never served before. That places this move in the medium-risk quadrant — riskier than selling more in the 12 known cities (Market Penetration), but safer than launching a new product line altogether.

Answering the Discussion Questions

Putting the framework and numbers to work

Q1

Should NestCraft expand into the 40 smaller towns this year?

Not fully, and not this year — **not with the full Rs. 2.5 Cr commitment**. The demand signal is real (customers are already trying to buy), but the 20% and 10% conversion assumptions behind the Rs. 6 Cr number are untested. Committing 83% of the budget to an unproven market is a risky bet when a safer, larger opportunity already exists next door.

Q2

Would you rather invest the Rs. 3 Cr deeper into the 12 existing cities?

Mostly, yes — but not entirely. The 12 cities offer proven demand and a much better return (Rs. 18 Cr revenue vs. Rs. 6 Cr, at lower cost). The smart move is a **split**: put the majority of the budget behind the sure bet, and keep a small slice aside to test the new-town opportunity properly before scaling it.

Q3

What would convince you this is a real opportunity, not just a few enthusiastic customers?

Before committing the full Rs. 2.5 Cr, look for:

- **Real cancellation data** — how many actual orders were lost to "no delivery," not price or other reasons
- **A small pilot** — deliver to 8–10 of the highest-intent towns first, not all 40 at once
- **Repeat demand over time** — is interest steady month-to-month, or a one-off spike?
- **True unit economics** — margin after delivery and logistics cost, not just top-line revenue

FINAL RECOMMENDATION

Deepen first. Pilot small. Scale only with proof.

Put the bulk of the Rs. 3 Cr budget into deepening the 12 cities NestCraft already knows — the safer, higher-return option. Set aside a small pilot budget to test delivery in a handful of the most promising towns. Use that pilot's real numbers, not estimates, to decide next year whether to scale the town-expansion further.

DEEPEN 12 CITIES

≈ **Rs. 2.2 Cr**

PILOT 8–10 TOWNS

≈ **Rs. 0.8 Cr**

Framework applied: Ansoff Matrix (Market Development quadrant) + TAM-SAM-SOM sizing | Digital & Telecom Casebook — Case 4